

DE LA SALLE UNIVERSITY

Ramon V. del Rosario College of Business • Department of Accountancy
FDNACCT: Foundational Accounting • Term 1, AY 2026–2027

MODULE 2: ACCOUNTING CONCEPTS & PRINCIPLES

Comprehensive Study Guide & Official Test Bank (103 Questions)

Course Code:	FDNACCT (Foundational Accounting)	Target Term:	Term 1, AY 2026–2027
Department:	Department of Accountancy (DLSU Manila)	Module Scope:	Unit 2 Comprehensive
Curriculum Chair:	Dr. Joy S. Rabo, CPA	Module Items:	103 Practice Items
Course Coordinator:	Prof. Editha O. Trinidad, CPA	Format:	Theory Notes + Questions + Last-Page Keys

PEDAGOGICAL DESIGN & USAGE DIRECTIVE

This publication-grade study booklet contains the **complete reading text** for Unit 2, followed by all 103 official departmental questions, past exam items, and brand-new counter-concept reinforcement MCQs. In strict adherence to pedagogical best practices, **Master Answer Keys and Detailed Step-by-Step Pedagogical Rationales** are located exclusively at the final pages of this booklet.

Part I: Master Study Guide Reading Notes (Unit 2)

Complete theoretical foundations, statutory provisions, standard criteria, and computational formulas:

2.1 Architectural Foundation: Why Rules Matter

Commerce is continuous and chaotic. Without standardized accounting rules and underlying assumptions, financial statements would be subjective works of fiction. The IFRS Conceptual Framework establishes the universal ground rules that ensure numbers prepared by different companies are comparable, verifiable, and trustworthy.

2.2 The Five Underlying Assumptions

1. **Separate Entity / Business Entity Assumption ('Two Pockets' Rule):** The economic activities of an enterprise are strictly separate and distinct from the personal affairs of its owners. Personal spending (e.g. concert tickets, private vacations) must never enter company expense records; it is treated strictly as owner drawings or capital distributions.
2. **Going Concern Assumption ('Train on Tracks' Rule):** The entity is assumed to continue operational existence indefinitely into the foreseeable future. This justifies valuing assets at historical cost less accumulated depreciation rather than current liquidation fire-sale values. Exception: When liquidation or cessation of trading is imminent (e.g. mandatory liquidation within 5 months), going concern is abandoned in favor of net realizable liquidation value.
3. **Monetary Unit Assumption ('Stable Yardstick' Rule):** Financial accounting records only events quantifiable in Philippine Pesos (₱), and assumes the currency's purchasing power remains stable, ignoring purchasing power fluctuations unless hyperinflation criteria are met.
4. **Time Period / Periodicity Assumption ('Calendar Slice' Rule):** The indefinite life of an enterprise is artificially divided into equal discrete time intervals (calendar year, fiscal year, or interim quarters/months) to provide timely performance feedback.
5. **Accrual Basis Assumption ('Earned vs. Incurred' Rule):** Revenue is recognized when earned (performance obligation satisfied), and expenses are recognized when incurred (economic resource consumed), regardless of when cash is received or disbursed.

2.3 Conceptual Framework: Primary vs. Other Users

- **Primary Users (Conceptual Framework 1.5):** Existing and potential investors, lenders, and other creditors who cannot require reporting entities to provide information directly to them and must rely on general-purpose financial reports.
- **Other Users:** Regulators (BIR, SEC, BSP), customers, employees, suppliers, and the public.

2.4 Qualitative Characteristics of Useful Financial Information

A. Fundamental Characteristics (Mandatory for information to be useful):

- **Relevance:** Capable of making a difference in economic decisions. Possesses *Predictive Value* (helps users forecast future outcomes), *Confirmatory Value* (confirms or alters prior expectations), or both. Subject to *Materiality* (omitting, misstating, or obscuring the item influences decisions).
- **Faithful Representation:** Depicts the economic substance of transactions. Must be: (1) *Complete* (includes all descriptions and explanations), (2) *Neutral* (unbiased, free from slant or manipulation), and (3) *Free from Error* (process applied without errors, though not requiring absolute precision).

B. Enhancing Characteristics (Improves usefulness of relevant & faithfully represented data):

- **Comparability:** Enables users to identify similarities and differences between entities and across time periods. Consistency (using the same methods) is the means to achieve comparability.
- **Verifiability:** Knowledgeable and independent observers can reach consensus that a depiction is faithfully represented. Can be Direct (physical cash count) or Indirect (recalculating inventory quantities using FIFO inputs).
- **Timeliness:** Having information available to decision-makers in time to influence their decisions.
- **Understandability:** Classifying, characterizing, and presenting information clearly and concisely.
- **The Cost Constraint:** Pervasive boundary stating that the benefits of financial reporting must justify the costs incurred to provide and use it.

2.5 Foundational Accounting Principles

- **Historical Cost Principle:** Assets are initially recorded at their acquisition cost (cash equivalent paid plus direct acquisition expenses), providing objective, verifiable measurement.
- **Matching Principle:** Expenses are recognized in the income statement in the same period as the related revenues they helped generate. Mechanism 1: Cause-and-Effect (Cost of Goods Sold). Mechanism 2: Systematic Allocation (Depreciation, Amortization). Mechanism 3: Immediate Recognition (Advertising, Officer Salaries).
- **Conservatism / Prudence:** Exercise of caution when making estimates under conditions of uncertainty: anticipate no profit, but provide for all probable losses.

2.6 Standard Setting Bodies in the Philippines

- **FRSC (Financial Reporting Standards Council):** The official accounting standard-setting body in the Philippines, promulgating PFRS.
- **PIC (Philippine Interpretations Committee):** Issues implementation guidance on contentious PFRS reporting issues.
- **BOA & PRC:** Regulates the licensure and practice of Certified Public Accountants under RA 9298.
- **IASB (International Accounting Standards Board):** The global body issuing IFRS Standards adopted by the Philippines.

2.7 Departmental Exam Flashpoints & Traps

CRITICAL FLASHPOINT 1: Direct vs. Indirect Verifiability

- **Direct Verifiability:** Verifying an amount or depiction through direct physical observation (e.g. counting cash bills in the petty cash box, inspecting paper stock certificates).
- **Indirect Verifiability:** Checking the inputs to a formula or model and recalculating the outputs using the same accounting convention (e.g. recalculating ending inventory carrying amounts by checking purchase invoices and multiplying unit costs under FIFO).

CRITICAL FLASHPOINT 2: Subsequent Events (PAS 10) & Hyperinflation (PAS 29)

- **PAS 10 Non-Adjusting Subsequent Events:** Events occurring between the end of the reporting period (Dec 31) and the date the financial statements are authorized for issue that indicate conditions arising *after* reporting period (e.g. warehouse fire in January, major uninsured typhoon damage, decline in market value of investments). These are **NOT adjusted in the financial statements**; they are disclosed in the Notes if material!
- **PAS 29 Hyperinflation 100% Threshold:** Under PAS 29, the Monetary Unit assumption is suspended only when hyperinflation exists, characterized by a cumulative inflation rate over three years approaching or exceeding **100% (an average of ~26% per year compounded)**.
- **Going Concern Preservation:** Incurring an operating loss in a single year or temporary industry downturn does NOT terminate going concern. Only the intention to liquidate or cessation of trading terminates it.

Part II: Master Test Bank Questionnaires (103 Items)

Complete test bank items covering Canvas unit quizzes, practical drills, past departmental examinations, and brand-new counter-concept reinforcement questions. Solve each question independently before consulting the solutions at the end of the booklet:

Item 1 [u2-q1] • Question 1 • Unit 2 Canvas Quiz (1 pt)

The two fundamental qualitative characteristics that make accounting information useful for decision-making by interested users are predictive value and confirmatory value.

- [A] True [B] False

Item 2 [u2-q2] • Question 2 • Unit 2 Canvas Quiz (1 pt)

In order for accounting information to be relevant in making a difference in decision-making, it must have predictive value, confirmatory value, or both, and also must be free from error to be relevant.

- [A] True [B] False

Item 3 [u2-q3] • Question 3 • Unit 2 Canvas Quiz (1 pt)

A fundamental qualitative characteristic that ensures that accounting information is presented without bias in the selection or presentation of financial information:

- [A] Neutrality
- [B] Predictive value
- [C] Completeness
- [D] Free from error

Item 4 [u2-q4] • Question 4 • Unit 2 Canvas Quiz (1 pt)

When there is an agreement between a measure or description and the phenomenon it purports to represent, relevant information possesses which quality?

- [A] Faithful representation
- [B] Confirmatory value
- [C] Free from error
- [D] Completeness

Item 5 [u2-q5] • Question 5 • Unit 2 Canvas Quiz (1 pt)

The following are attributes that enhance the relevance and faithful representation of financial information, EXCEPT:

- [A] Materiality
- [B] Timeliness
- [C] Understandability
- [D] Comparability

Item 6 [u2-q6] • Question 6 • Unit 2 Canvas Quiz (1 pt)

Generally accepted accounting principles are:

- [A] standards that indicate how to report economic events.
- [B] income tax regulations of the Bureau of Internal Revenue.
- [C] theories that are based on physical laws of the universe.
- [D] principles that have been proven correct by academic researchers.

Item 7 [u2-q7] • Question 7 • Unit 2 Canvas Quiz (1 pt)

An organization for accounting purposes, stands apart from other organizations and individuals as a separate accounting entity.

- [A] True [B] False

Item 8 [u2-q8] • Question 8 • Unit 2 Canvas Quiz (1 pt)

The business entity concept means that:

- [A] the business entity is considered a separate entity apart from the owner or owners.
- [B] the owner of the business entity and the business entity are treated the same from a legal and accounting viewpoint.
- [C] the business entity is organized according to the rules determined by the International Accounting Standards Board.
- [D] the business entity is organized according to the rules determined by the Bureau of Internal Revenue.

Item 9 [u2-q9] • Question 9 • Unit 2 Canvas Quiz (1 pt)

The going-concern principle states an entity will remain in operation for only the next accounting period.

- [A] True
- [B] False

Item 10 [u2-q10] • Question 10 • Unit 2 Canvas Quiz (1 pt)

A problem with the monetary unit assumption is that:

- [A] the peso has not been stable over time.
- [B] the peso has been stable over time.
- [C] the peso is a common medium of exchange.
- [D] it is impossible to account for international transactions.

Item 11 [u2-q11] • Question 11 • Unit 2 Canvas Quiz (1 pt)

Which of the following statements is TRUE regarding the monetary unit assumption?

- [A] The value of a peso changes over time but it is assumed to be stable once recorded in the Accounting records.
- [B] Filipino accountants record transactions in any Asian currency.
- [C] The stable-monetary-unit concept requires adjustments to the accounting records for the effects of inflation.
- [D] The monetary unit assumption requires that all peso amounts be rounded to the nearest peso.

Item 12 [u2-q12] • Question 12 • Unit 2 Canvas Quiz (1 pt)

The Time Period Assumption requires that all business transactions must occur within the same accounting period.

- [A] True
- [B] False

Item 13 [u2-q13] • Question 13 • Unit 2 Canvas Quiz (1 pt)

The Time Period Assumption is most essential for which financial statement?

- [A] Statement of Profit or Loss
- [B] Statement of Financial Position
- [C] Statement of Cash Flows
- [D] Statement of Owner's Equity

Item 14 [u2-q14] • Question 14 • Unit 2 Canvas Quiz (1 pt)

Under the Accrual Assumption, revenue is recognized before cash is received, as long as it is earned; while expense is recognized before cash is paid, as long as it is incurred.

- [A] True
- [B] False

Item 15 [u2-q15] • Question 15 • Unit 2 Canvas Quiz (1 pt)

The Accrual Assumption in accounting dictates that:

- [A] Revenues and expenses should be recognized when cash is received or paid.
- [B] Revenues and expenses should be recognized when they are earned or incurred.
- [C] All financial transactions should be reported immediately.
- [D] Revenues should be recognized before expenses.

Item 16 [u2-q16] • Question 16 • Unit 2 Canvas Quiz (1 pt)

The historical cost principle requires that when assets are acquired, they be recorded at:

- [A] exchange price paid.
- [B] appraisal value.
- [C] selling price.
- [D] list price.

Item 17 [u2-q17] • Question 17 • Unit 2 Canvas Quiz (1 pt)

The relevant measure of value of the assets of a company that is going out of business is their:

- [A] current market value or liquidation value.
- [B] book value.
- [C] historical cost.
- [D] higher of historical cost or current market value.

Item 18 [u2-q18] • Question 18 • Unit 2 Canvas Quiz (1 pt)

Services or goods delivered in 2023 but collected in 2024 should be recognized as income in 2023.

- [A] True
- [B] False

Item 19 [u2-q19] • Question 19 • Unit 2 Canvas Quiz (1 pt)

A referral fee was given to a doctor for bringing his patients for laboratory exams at A1 Laboratory. Referral Expenses and Laboratory Expenses are recorded by A1 Laboratory against the service fees earned for the period. The method of recording expenses and revenue supports the principle of:

- [A] Matching.
- [B] Accrual.
- [C] Cost.
- [D] Materiality.

Item 20 [u2-q20] • Question 20 • Unit 2 Canvas Quiz (1 pt)

What is the primary objective of full disclosure in financial reporting?

- [A] To provide a complete and transparent picture of a company's financial position and financial performance.
- [B] To highlight only positive information.
- [C] To manipulate financial statements for better market perception.
- [D] To minimize the amount of information disclosed to competitors.

Item 21 [u2-q21] • Question 21 • Unit 2 Canvas Quiz (1 pt)

A deviation from generally accepted accounting principles is:

- [A] permissible if the amount involved is immaterial.
- [B] permissible if the amount involved is material.
- [C] permissible only if it is required in order to conform to the monetary unit assumption.
- [D] never allowed.

Item 22 [u2-q22] • Question 22 • Unit 2 Canvas Quiz (1 pt)

The cost-benefit constraint goes hand in hand with which principle?

- [A] Materiality
- [B] Revenue recognition
- [C] Historical cost basis
- [D] Full disclosure

Item 23 [u2-q23] • Question 23 • Unit 2 Canvas Quiz (1 pt)

The cost-benefit test constraint refers to the benefit of complying with an accounting principle should not outweigh the cost of compliance.

- [A] True [B] False

Item 24 [u2-q24] • Question 24 • Unit 2 Canvas Quiz (1 pt)

With Conservatism, if an accountant has more than one Generally Accepted Accounting Principles options to choose from when facing an accounting challenge, the one that yields inferior numbers should be selected.

- [A] True [B] False

Item 25 [u2-q25] • Question 25 • Unit 2 Canvas Quiz (1 pt)

It is usually the case that industry practice becomes acceptable as GAAP in what types of industries?

- [A] Industries to which unusual regulatory requirements apply.
 [B] Industries in which there is unusually low risk.
 [C] Industries where it is simple to apply GAAP.
 [D] Industries to which typical tax laws apply.

Item 26 [u2-q26] • Question 26 • Unit 2 Canvas Quiz (10 pts)

Application of Accounting Concepts: Match the accounting concept, principle, assumption, or constraint applicable in each of the 10 real-world business scenarios:

Item 27 [ff-1] • Forensic Diagnostic Lab • Case 1 (2 pts)

In 2020, German fintech giant Wirecard collapsed after auditors discovered that €1.9 Billion in cash purportedly held in Philippine trustee escrow accounts at BPI and BDO did not exist. Which fundamental accounting characteristic was directly violated by management?

- [A] Faithful Representation (Completeness, Neutrality, and Free from Error)
 [B] Time Period Assumption
 [C] Going Concern Assumption
 [D] Monetary Unit Assumption

Item 28 [ff-2] • Forensic Diagnostic Lab • Case 2 (2 pts)

In 2002, WorldCom orchestrated an USD 11 Billion accounting fraud by reclassifying billions of routine 'line costs' (operating fees paid to telecom network providers) into capital asset accounts. Which core principle and expense recognition mode was violated?

- [A] The Matching Principle (Immediate Expense Recognition Mode)
 [B] The Historical Cost Principle
 [C] The Business Entity Assumption
 [D] The Monetary Unit Assumption

Item 29 [ff-3] • Forensic Diagnostic Lab • Case 3 (2 pts)

Enron hid billions of dollars in debt and toxic liabilities inside off-balance-sheet Special Purpose Entities (SPEs) run by its own CFO. This fraudulent concealment directly violated:

- [A] Substance Over Form, Full Disclosure, and the Business Entity Concept
 [B] The Monetary Unit Assumption only
 [C] The Accrual Basis Assumption only
 [D] The Time Period Assumption only

Item 30 [ff-4] • Forensic Diagnostic Lab • Case 4 (2 pts)

In 2015, Toshiba revealed a USD 1.2 Billion operating profit overstatement across seven years due to executives pressuring project managers to delay recognizing expected losses on long-term infrastructure contracts. Which doctrine was violated?

- [A] Conservatism / Prudence Doctrine (recognizing probable losses immediately)
- [B] Separate Entity Assumption
- [C] Monetary Unit Assumption
- [D] Historical Cost Principle

Item 31 [ff-5] • Forensic Diagnostic Lab • Case 5 (2 pts)

Before its 2008 collapse, Lehman Brothers used temporary short-term sale-and-repurchase transactions ('Repo 105') at quarter-ends to treat short-term borrowings as true sales of securities, slashing USD 50 Billion in liabilities. This violated:

- [A] Substance Over Form and Faithful Representation
- [B] The Going Concern Assumption
- [C] The Time Period Assumption
- [D] The Historical Cost Principle

Item 32 [past-t1-tf7] • AY2526 T1 • True/False Q7 (1 pt)

The fundamental qualitative characteristics are attributes that improve the usefulness of information that is already relevant and faithfully represented.

- [A] True
- [B] False

Item 33 [past-t1-tf8] • AY2526 T1 • True/False Q8 (1 pt)

The going concern assumption presumes that a business will continue its operations indefinitely, unless there is evidence to the contrary.

- [A] True
- [B] False

Item 34 [past-t1-tf9] • AY2526 T1 • True/False Q9 (1 pt)

The matching principle requires that expenses be recorded in the same period as the revenues they help generate.

- [A] True
- [B] False

Item 35 [past-t1-mc4] • AY2526 T1 • Multiple Choice Q4 (1 pt)

The entity assumption in accounting means that:

- [A] All personal assets of the owner must be reported in the company's financial statements.
- [B] The business and its owner are considered the same for accounting purposes.
- [C] The business transactions are recorded separately from the personal transactions of the owner.
- [D] The company will continue to operate indefinitely unless proven otherwise.

Item 36 [past-t1-mc6] • AY2526 T1 • Multiple Choice Q6 (1 pt)

According to the Revenue Recognition principle, when should a company recognize revenue?

- [A] Only when cash is received from the customer, regardless of when the service is performed.
- [B] When the company records an invoice in its accounting system, even if delivery has not occurred.
- [C] At the end of the accounting period, regardless of transactions during the period.
- [D] When the service is performed or goods are delivered, regardless of when cash is received.

Item 37 [past-t1-mc7] • AY2526 T1 • Multiple Choice Q7 (1 pt)

The Cost-Benefit constraint in accounting means that:

- [A] The benefits of providing financial information should exceed the costs of preparing it.
- [B] Companies must report every transaction, regardless of its cost.
- [C] All information should be kept secret to avoid expenses.
- [D] Financial statements should only show cash transactions.

Item 38 [past-t2-tf4] • AY2526 T2 • True/False Q4 (1 pt)

Financial information can be considered useful for decision-making even if it lacks relevance or does not faithfully represent the economic events it purports to describe.

- [A] True [B] False

Item 39 [past-t2-tf5] • AY2526 T2 • True/False Q5 (1 pt)

Under the time period concept, a business must recognize revenues and expenses only at the end of its entire operating life rather than allocating them to specific accounting periods.

- [A] True [B] False

Item 40 [past-t2-tf6] • AY2526 T2 • True/False Q6 (1 pt)

The going concern concept assumes the business will continue operating for the foreseeable future, not that it will liquidate.

- [A] True [B] False

Item 41 [past-t2-tf7] • AY2526 T2 • True/False Q7 (1 pt)

Matching requires that expenses be recorded in the same accounting period as the revenues they help generate, regardless of when the cash is paid.

- [A] True [B] False

Item 42 [past-t2-tf8] • AY2526 T2 • True/False Q8 (1 pt)

Under the cost-benefit concept, all financial information must always be disclosed, regardless of the cost of preparing it or its usefulness to decision-makers.

- [A] True [B] False

Item 43 [past-t2-mc4] • AY2526 T2 • Multiple Choice Q4 (1 pt)

Which of the following best describes the difference between consistency and uniformity under the comparability characteristic?

- [A] Consistency requires the same methods for the same items over time, while uniformity requires making unlike items look alike.
- [B] Consistency allows changing methods each period, while uniformity ensures comparability across entities.
- [C] Consistency refers to reporting items in different ways to highlight differences, while uniformity requires identical methods for all entities.
- [D] Consistency and uniformity are identical concepts that always produce the same results.

Item 44 [past-t2-mc5] • AY2526 T2 • Multiple Choice Q5 (1 pt)

Which of the following accounting treatments violates the monetary concept?

- [A] Recording land at its purchase price even though its current market value has increased significantly.
- [B] Recognizing revenue based on the peso amount stated in the sales invoice.
- [C] Recording purchased machinery at cost.
- [D] Recording the fluctuations of the purchasing power of money in the accounting records.

Item 45 [past-t2-mc6] • AY2526 T2 • Multiple Choice Q6 (1 pt)

Which of the following best describes Generally Accepted Accounting Principles (GAAP)?

- [A] A set of accounting standards and procedures that guide the preparation and presentation of financial statements in a consistent and reliable manner.
- [B] A collection of tax laws and regulations used primarily for preparing income tax returns.
- [C] Informal guidelines used by managers to make internal business decisions without any regulatory oversight.
- [D] A set of rules that allows companies to prepare financial statements in any format they prefer, without following any standardized rules or principles.

Item 46 [past-t2-mc7] • AY2526 T2 • Multiple Choice Q7 (1 pt)

Which of the following best illustrates proper application of the full disclosure concept?

- [A] A company omits information about a significant pending lawsuit to avoid alarming investors.
- [B] A company discloses in the footnotes all contingent liabilities, accounting policies, and related-party transactions that could influence users' decisions.
- [C] A company reports only its net income without providing details on major accounting estimates or assumptions.
- [D] A company reports revenues on a cash basis to simplify financial statements, without explaining the method in the notes.

Item 47 [past-t3-tf4] • AY2526 T3 • True/False Q4 (1 pt)

To be useful, financial information must also faithfully represent the substance of the phenomena that it purports to represent.

- [A] True
- [B] False

Item 48 [past-t3-tf6] • AY2526 T3 • True/False Q6 (1 pt)

A company is facing legal battles that points to possible liquidation within the next five months. In this scenario, the accountant should continue to prepare the financial statements using standard historical cost valuations under the going-concern assumption.

- [A] True
- [B] False

Item 49 [past-t3-tf7] • AY2526 T3 • True/False Q7 (1 pt)

Full disclosure requires important facts that are necessary for the users to properly interpret the financial statements be included.

- [A] True
- [B] False

Item 50 [past-t3-tf8] • AY2526 T3 • True/False Q8 (1 pt)

Owner's capital contributions, such as cash or other assets invested into the business, are recorded at their historical cost rather than their fair market value at the time of investment.

- [A] True
- [B] False

Item 51 [past-t3-mc4] • AY2526 T3 • Multiple Choice Q4 (1 pt)

It refers to the use of the same methods for the same items, either from period to period within a reporting entity or in a single period across entities:

- [A] Timeliness
- [B] Consistency
- [C] Verifiability
- [D] Understandability

Item 52 [past-t3-mc5] • AY2526 T3 • Multiple Choice Q5 (1 pt)

It is a characteristic of information that its omission from, or inclusion in, the financial statements could alter the decision of a financial statement user when assessing a specific entity's financial condition and performance:

- [A] Material
- [B] Understandable
- [C] Neutral
- [D] Timely

Item 53 [past-t3-mc6] • AY2526 T3 • Multiple Choice Q6 (1 pt)

In November 2025, an accounting firm receives a cash advance payment from a client for consultation services that will be performed in January 2026. Under the accrual principle, how should the firm record this transaction in November 2025?

- [A] A revenue because cash was physically received.
- [B] A liability since the service has not yet been rendered.
- [C] Record nothing in November and document the entire entry only when the work begins in January.
- [D] Record as a direct increase in the Owner's Capital.

Item 54 [reinf-u2-01] • Reinforcement 2.1: Going Concern Abandonment (5-Month Rule) (1 pt)

Solaria Solar Corp has suffered massive technological disruptions. On November 15, 2026, its board of directors votes to cease operations, lay off staff, and liquidate all physical plant assets within the next 5 months. How must Solaria value its plant machinery on its December 31, 2026 balance sheet?

- [A] Historical cost less accumulated depreciation under going concern
- [B] Estimated Net Realizable Liquidation Value (fire-sale value)
- [C] Replacement reproduction cost
- [D] Original invoice cost without depreciation

Item 55 [reinf-u2-02] • Reinforcement 2.2: Going Concern Preserved Despite Operating Loss (1 pt)

During its first year of operation, a startup biotech firm incurs an operating net loss of ₱8,000,000 due to research spending. However, it holds ₱50,000,000 in committed venture capital and expects profitable vaccine sales in Year 3. Does this Year 1 net loss invalidate the Going Concern Assumption?

- [A] Yes, any net loss immediately forces liquidation accounting.
- [B] No, the Going Concern Assumption is preserved because the firm has adequate liquidity and intends to continue operations for the foreseeable future.
- [C] Yes, unless the BIR grants an official going concern certificate.
- [D] No, but all equipment must be revalued at scrap value.

Item 56 [reinf-u2-03] • Reinforcement 2.3: Consistency vs Uniformity Distinction (1 pt)

Which statement correctly distinguishes 'Consistency' from 'Uniformity' under the IFRS Conceptual Framework?

- [A] Consistency means all companies in the Philippines must use identical depreciation methods; Uniformity means using the same method from year to year.
- [B] Consistency means an entity applies the same accounting treatment from period to period (intra-firm comparability); Uniformity means different entities use the exact same methods (which is NOT required by PFRS).
- [C] Consistency and Uniformity are exact synonyms under PFRS.
- [D] Uniformity is a fundamental characteristic, while Consistency is a modifying constraint.

Item 57 [reinf-u2-04] • Reinforcement 2.4: Legitimate Change in Accounting Policy (1 pt)

May an enterprise ever change an accounting policy (e.g., from straight-line to accelerated depreciation) without violating the Consistency principle?

- [A] No, accounting policies can never be altered under any circumstances.
- [B] Yes, if the change is required by a new PFRS standard or results in financial statements providing more reliable and relevant information, accompanied by full footnote disclosure.
- [C] Yes, but only if the change increases reported net profit.
- [D] No, unless the company pays a consistency penalty to the SEC.

Item 58 [reinf-u2-05] • Reinforcement 2.5: Obscured Information Criteria (1 pt)

Under the IFRS Conceptual Framework, material information is considered 'OBSCURED' if it is presented in a manner that:

- [A] Includes a clear breakdown of accounts in the notes.
- [B] Uses language that is vague, aggregates dissimilar items, or buries material items amidst voluminous trivial disclosures.
- [C] Reports a higher net income than the prior year.
- [D] Includes audited comparatives from two previous accounting periods.

Item 59 [reinf-u2-06] • Reinforcement 2.6: Advance Customer Collection Treatment (1 pt)

On December 28, 2026, a law firm receives a ₱200,000 cash retainer fee from a corporate client to defend a patent litigation case that will begin trial in March 2027. Under the Accrual Basis and PFRS 15, how must this transaction be recorded on December 28, 2026?

- [A] Debit Cash ₱200,000; Credit Legal Service Revenue ₱200,000
- [B] Debit Cash ₱200,000; Credit Unearned Retainer Fees (Current Liability) ₱200,000
- [C] Debit Cash ₱200,000; Credit Owner's Capital ₱200,000
- [D] No entry is made until the trial begins in March 2027

Item 60 [reinf-u2-07] • Reinforcement 2.7: Direct Association (Cause and Effect) (1 pt)

Which of the following expenditures is matched against revenue via a direct 'Cause and Effect' association?

- [A] Monthly office rent
- [B] Depreciation on delivery vans
- [C] Sales commission paid to real estate agents based on closed property deals
- [D] Annual fire insurance premium

Item 61 [reinf-u2-08] • Reinforcement 2.8: Systematic & Rational Allocation (1 pt)

When an asset provides economic benefits over multiple future accounting periods, its cost is matched to expense through:

- [A] Immediate recognition as an operating expense in the month of purchase
- [B] Systematic and Rational Allocation (e.g. depreciation or amortization over useful life)
- [C] Direct association with owner's drawings
- [D] Deduction directly from sales revenue on the invoice

Item 62 [reinf-u2-09] • Reinforcement 2.9: Immediate Recognition Rationale (1 pt)

A company spends ₱500,000 on a national television advertising campaign during December. Why does GAAP/PFRS require this cost to be expensed immediately in December rather than capitalized as an intangible asset?

- [A] Because advertising generates zero sales.
- [B] Because the future economic benefits of advertising are highly uncertain and cannot be reliably measured or controlled by the enterprise.
- [C] Because television stations do not issue official BIR receipts.
- [D] Because advertising is considered an illegal corporate expense.

Item 63 [reinf-u2-10] • Reinforcement 2.10: Unsolicited Purchase Offers on Land (1 pt)

Ayala Land purchased a parcel of commercial land in 2015 for ₱20,000,000. In 2026, an independent appraiser values the land at ₱85,000,000, and a foreign property developer makes a formal cash purchase offer of ₱90,000,000. Under the Historical Cost Principle (cost model), at what value must the land remain on the Statement of Financial Position?

- [A] ₱90,000,000 (Formal cash offer)
- [B] ₱85,000,000 (Appraised market value)
- [C] ₱20,000,000 (Historical acquisition cost)
- [D] ₱52,500,000 (Average of cost and appraisal)

Item 64 [reinf-u2-11] • Reinforcement 2.11: Asymmetry of Prudence (1 pt)

The traditional accounting maxim of Prudence dictates: 'Anticipate no profits, but provide for all possible/probable losses.' How does this manifest in lawsuit accounting under PAS 37?

- [A] Probable lawsuit damages the company expects to WIN are recognized as immediate revenue; probable damages it expects to LOSE are ignored.
- [B] Probable lawsuit losses are recognized immediately as a provision (liability) and loss on the income statement, whereas probable lawsuit gains are NOT recognized until officially resolved in court.
- [C] Both lawsuit gains and lawsuit losses are recognized as revenue immediately.
- [D] Neither lawsuit gains nor losses are disclosed under any circumstance.

Item 65 [reinf-u2-12] • Reinforcement 2.12: Materiality & Low-Value Equipment (1 pt)

San Miguel Corporation purchases an electric pencil sharpener for ₱850 with an expected useful life of 5 years. Instead of capitalizing it as PPE and depreciating it ₱170 per year for 5 years, the accountant expenses the entire ₱850 immediately. This treatment is justified by:

- [A] The Accrual Principle
- [B] The Time Period Assumption
- [C] The Materiality Constraint and Cost-Benefit Consideration
- [D] The Revenue Recognition Principle

Item 66 [reinf-u2-13] • Reinforcement 2.13: The Pervasive Constraint (1 pt)

Which modifying constraint is formally designated as the 'Pervasive Constraint' in financial reporting?

- [A] Materiality
- [B] The Cost-Benefit Constraint
- [C] Industry Practice
- [D] Conservatism

Item 67 [reinf-u2-14] • Reinforcement 2.14: Commingling Business & Personal Cash (1 pt)

Dr. Julian uses his dental clinic's corporate debit card to purchase a ₱65,000 gold bracelet for his wedding anniversary. If the bookkeeper incorrectly records this as 'Clinic Miscellaneous Expense', what is the dual distortion on the financial statements?

- [A] Clinic Net Income is overstated, and Cash is understated.
- [B] Clinic Net Income is understated by ₱65,000, and Dr. Julian's Drawings are understated by ₱65,000.
- [C] Clinic Total Assets are overstated by ₱65,000, and Liabilities are understated.
- [D] Clinic Service Revenues are understated by ₱65,000.

Item 68 [reinf-u2-15] • Reinforcement 2.15: Stable Currency Yardstick (1 pt)

The Monetary Unit Assumption presumes that the purchasing power of the Philippine Peso is relatively stable over time. What is the major limitation of this assumption during periods of moderate or high inflation?

- [A] It prevents accountants from adding debits and credits together.
- [B] It combines pesos from 1990 (which had high purchasing power) with pesos from 2026 (which have lower purchasing power) as if they were identical economic units.
- [C] It forces companies to revalue all assets every Friday afternoon.
- [D] It makes the preparation of a Statement of Cash Flows mathematically impossible.

Item 69 [reinf-u2-16] • Reinforcement 2.16: Periodicity & The Need for Estimates (1 pt)

Why does the Time Period (Periodicity) Assumption directly necessitate the use of accruals, deferrals, and accounting estimates?

- [A] Because if businesses waited until ultimate liquidation to prepare financial statements, accuracy would be perfect, but the information would arrive too late to be useful for decision-making.
- [B] Because the BIR requires all taxes to be computed on a 5-year rolling average.
- [C] Because computers cannot calculate numbers spanning more than 30 days.
- [D] Because cash flow cannot be determined over short periods.

Item 70 [reinf-u2-17] • Reinforcement 2.17: Full Disclosure in the Footnotes (1 pt)

Under the Full Disclosure Principle, how should a material pending patent infringement lawsuit against the company that could bankrupt it if lost be handled if the damages cannot be reliably quantified as of the balance sheet date?

- [A] Ignored completely until the court issues a final verdict.
- [B] Recorded as an estimated ₱1 expense on the income statement.
- [C] Disclosed comprehensively in the Notes to the Financial Statements, describing the nature of the suit, the legal uncertainties, and potential exposure.
- [D] Reported as an increase in intangible assets.

Item 71 [reinf-u2-18] • Reinforcement 2.18: WorldCom Forensic Scandal (1 pt)

In the WorldCom financial scandal (USD 3.8 Billion fraud), management fraudulently capitalized ordinary 'line costs' (fees paid to lease telecommunication networks from third-party telcos) as capital assets instead of recording them as operating expenses. What was the direct financial statement impact?

- [A] WorldCom reported massive losses, saving billions in income taxes.
- [B] WorldCom's operating expenses were artificially suppressed, fraudulently turning massive real net operating losses into billions in reported net profits.
- [C] WorldCom's cash balance increased by USD 3.8 Billion in physical currency.
- [D] WorldCom's liabilities were wiped out completely from the balance sheet.

Item 72 [reinf-u2-19] • Reinforcement 2.19: Enron Off-Balance-Sheet Vehicles (1 pt)

Enron Corporation concealed hundreds of millions of dollars in toxic debts and operational losses by transferring them to unconsolidated 'Special Purpose Entities' (SPEs) controlled by its CFO. Which fundamental accounting principle did Enron blatantly violate?

- [A] The Monetary Unit Assumption
- [B] Substance Over Form and Faithful Representation (Full Disclosure)
- [C] The Time Period Assumption
- [D] The Natural Business Year Convention

Item 73 [reinf-u2-20] • Reinforcement 2.20: Wirecard €1.9 Billion Ghost Cash (1 pt)

In 2020, German fintech giant Wirecard collapsed after auditors discovered that €1.9 Billion (approx. USD 2.1 Billion) in cash purportedly deposited in escrow accounts at Philippine banks (BDO and BPI) never existed. Which qualitative characteristic of accounting information was completely absent in Wirecard's cash balances?

- [A] Verifiability and Faithful Representation
- [B] Understandability
- [C] Periodicity
- [D] Historical Cost

Item 74 [reinf-u2-21] • Reinforcement 2.21: Direct vs Indirect Verifiability (1 pt)

Physically counting cash in a bank vault is an example of DIRECT verifiability. Which of the following is an example of INDIRECT verifiability?

- [A] Counting physical boxes of shoes in an inventory warehouse.
- [B] Inspecting the paper title deed to a plot of land.
- [C] Recalculating ending inventory by checking input cost data, quantities, and applying the FIFO formula mathematically.
- [D] Weighing raw gold ingots on a certified digital scale.

Item 75 [reinf-u2-22] • Reinforcement 2.22: Timeliness Trade-off (1 pt)

Why do public companies release quarterly financial reports (SEC Form 17-Q) within 45 days after quarter-end, even if final adjustments might still be fine-tuned during the annual audit?

- [A] Because stale financial information, even if ultimately more precise, loses its capacity to influence economic decisions if delivered too late (Timeliness).
- [B] Because the BIR charges daily late penalties on quarterly reports.
- [C] Because computers automatically erase quarterly ledgers after 45 days.
- [D] Because quarterly reports are only read by junior clerks.

Item 76 [reinf-u2-23] • Reinforcement 2.23: The Understandability Standard (1 pt)

Does the enhancing qualitative characteristic of 'Understandability' mean that complex financial derivative transactions should be omitted from financial statements so novice readers are not confused?

- [A] Yes, if an average citizen cannot understand a transaction, it must be excluded.
- [B] No, financial reports are prepared for users who have a reasonable knowledge of business and economic activities and who review the information with reasonable diligence; complex relevant items must never be omitted.
- [C] Yes, all derivatives must be moved to secret executive files.
- [D] No, but complex items may only be written in Latin.

Item 77 [reinf-u2-24] • Reinforcement 2.24: Dimensions of Relevance (1 pt)

Financial information possesses RELEVANCE if it has predictive value, confirmatory value, or both. Which situation illustrates CONFIRMATORY value?

- [A] An analyst uses current-quarter sales to forecast next year's growth trajectory.
- [B] An investor reviews the audited annual report to see whether the company met the revenue forecast management announced nine months ago.
- [C] An entrepreneur designs a 5-year business plan for a bank loan application.
- [D] A software engineer creates an automated spreadsheet to estimate future inflation rates.

Item 78 [reinf-u2-25] • Reinforcement 2.25: Neutrality Defined (1 pt)

Under Faithful Representation, 'Neutrality' means that financial statements:

- [A] Are prepared with zero math formulas.
- [B] Are without bias in the selection or presentation of financial information, neither slanted nor manipulated to achieve a predetermined outcome or influence user behavior.
- [C] Always report zero net income to avoid corporate tax disputes.
- [D] Are signed only by neutral Swiss accountants.

Item 79 [reinf-u2-26] • Reinforcement 2.26: Substance Over Form in Leases (1 pt)

Under PFRS 16, a company signs a 10-year lease for a delivery airplane. Legally, the leasing bank owns the airplane. Economically, the company controls the airplane's entire productive useful life and bears all maintenance costs. How must the company record this transaction?

- [A] Record zero on the balance sheet and record only monthly rent expense when paid.
- [B] Recognize a 'Right-of-Use Asset' and a corresponding 'Lease Liability' on its balance sheet, reflecting economic substance over legal form.
- [C] Record the airplane as owner's drawings.
- [D] Record the airplane as a contingent liability in the footnotes only.

Item 80 [reinf-u2-27] • Reinforcement 2.27: Anatomy of an Accrued Expense (1 pt)

An 'Accrued Expense' represents an economic event where:

- [A] Cash was paid in advance before the service was received.
- [B] The expense has been incurred (economic benefit consumed), but cash has not yet been paid as of the balance sheet date.
- [C] Cash was collected before services were rendered to a customer.
- [D] An expense was recorded twice by mistake.

Item 81 [reinf-u2-28] • Reinforcement 2.28: Anatomy of a Prepaid Expense (1 pt)

When a firm pays ₱120,000 cash on December 1, 2026 for a 12-month commercial property insurance policy covering December 1, 2026 through November 30, 2027, how much is recognized as an ASSET as of December 31, 2026?

- [A] ₱120,000
- [B] ₱110,000
- [C] ₱10,000
- [D] ₱0

Item 82 [reinf-u2-29] • Reinforcement 2.29: Anatomy of Accrued Revenue (1 pt)

A structural engineering firm completes building inspection services on December 28, earning ₱95,000. However, due to the holidays, the formal billing invoice will not be mailed to the client until January 10. Under accrual accounting, what must the firm do on December 31?

- [A] Wait until January 10 when the invoice is typed before recording any revenue.
- [B] Accrue the revenue on December 31 by debiting Accrued Fees Receivable (Current Asset) ₱95,000 and crediting Inspection Revenue ₱95,000.
- [C] Record cash receipt immediately on December 31.
- [D] Record a liability because no invoice was mailed.

Item 83 [reinf-u2-30] • Reinforcement 2.30: Advance Magazine Subscriptions (1 pt)

A publishing company collects ₱2,400,000 cash in November for 1-year annual magazine subscriptions starting with the December issue. As of December 31, 1 month of issues has been delivered. What amount is reported as Unearned Subscription Revenue (Liability) on December 31?

- [A] ₱2,400,000
- [B] ₱2,200,000
- [C] ₱200,000
- [D] ₱0

Item 84 [reinf-u2-31] • Reinforcement 2.31: Industry Practice Specialization (1 pt)

Agricultural companies accounting for growing fruit orchards or biological livestock under PAS 41 measure assets at 'Fair Value less Costs to Sell' rather than historical depreciated cost. This specialized departure from general historical cost rules is justified by:

- [A] The Industry Practice Constraint
- [B] The Monetary Unit Assumption
- [C] The Time Period Assumption
- [D] The Separate Entity Assumption

Item 85 [reinf-u2-32] • Reinforcement 2.32: The Objectivity Standard (1 pt)

The Objectivity Principle (Verifiability) requires that accounting entries be supported by:

- [A] The owner's personal intuition and optimism.
- [B] Verifiable, objective documentary evidence such as sales invoices, bank deposit slips, canceled checks, and legal contracts.
- [C] Rumors circulating on social media regarding product demand.
- [D] Verbal promises made during informal lunches.

Item 86 [reinf-u2-33] • Reinforcement 2.33: Fiscal Year Defined (1 pt)

De La Salle University operates on an academic fiscal year ending August 31 rather than December 31. This 12-month accounting period spanning from September 1 to August 31 is formally known as a:

- [A] Calendar Year
- [B] Fiscal Year
- [C] Interim Period
- [D] Perpetual Epoch

Item 87 [reinf-u2-34] • Reinforcement 2.34: The Natural Business Year (1 pt)

A major retail department store chain experiences peak sales during the Christmas holidays and reaches its lowest annual inventory levels and lowest business activity on January 31. Choosing a fiscal year ending January 31 is an adoption of:

- [A] A Natural Business Year
- [B] An Artificial Tax Shelter
- [C] A Going Concern Violation
- [D] An Impairment Cycle

Item 88 [reinf-u2-35] • Reinforcement 2.35: Hierarchy of Qualitative Characteristics (1 pt)

Under the IFRS Conceptual Framework, what are the two fundamental qualitative characteristics that make financial information useful?

- [A] Comparability and Verifiability
- [B] Relevance and Faithful Representation
- [C] Timeliness and Understandability
- [D] Historical Cost and Conservatism

Item 89 [reinf-u2-36] • Reinforcement 2.36: Role of Enhancing Characteristics (1 pt)

Can the enhancing qualitative characteristics (Comparability, Verifiability, Timeliness, Understandability) make financial information useful if that information is fundamentally IRRELEVANT or NOT faithfully represented?

- [A] Yes, if an item is extremely timely, it becomes useful even if completely irrelevant.
- [B] No, enhancing characteristics improve the usefulness of information that is already relevant and faithfully represented, but cannot make irrelevant or false data useful.
- [C] Yes, high verifiability always overrides relevance.
- [D] Yes, if the notes are easy to understand.

Item 90 [reinf-u2-37] • Reinforcement 2.37: Materiality Relativity (1 pt)

A ₱500,000 inventory theft is discovered at a small neighborhood convenience store with annual revenues of ₱2,000,000. The same ₱500,000 theft occurs at SM Prime Holdings with annual revenues of ₱100 Billion. Is the theft 'Material' for both entities?

- [A] Yes, ₱500,000 is legally material to every corporation in the world.
- [B] No, materiality is entity-specific; the theft is highly material to the convenience store (25% of revenue), but immaterial to SM Prime Holdings (0.0005% of revenue).
- [C] No, neither is material because theft is an extraordinary item.
- [D] Yes, because all thefts must be published in the national newspapers.

Item 91 [reinf-u2-38] • Reinforcement 2.38: Qualitative Materiality (Nature vs Magnitude) (1 pt)

Even if an illegal payment (bribe) made by a company CEO is quantitatively tiny (e.g. ₱50,000 in a firm with ₱1 Billion revenue), why is it still considered MATERIAL under auditing standards?

- [A] Because an item can be material by its qualitative NATURE (involving management fraud, illegality, and corporate governance failure) regardless of its monetary size.
- [B] Because the BIR charges a 500% penalty on bribes.
- [C] Because ₱50,000 is the statutory threshold for all audit opinions.
- [D] It is not material; the auditor ignores it.

Item 92 [reinf-u2-39] • Reinforcement 2.39: PFRS 15 Five-Step Revenue Model (1 pt)

What is the correct sequence of the 5-step model for revenue recognition under PFRS 15?

- [A] Collect Cash -> Sign Contract -> Pay Commission -> Deliver Goods -> Close Ledger
- [B] Identify Contract -> Identify Performance Obligations -> Determine Transaction Price -> Allocate Price -> Recognize Revenue when/as obligation is satisfied
- [C] Determine Price -> Deliver Goods -> Collect Cash -> Send Invoice -> Post to Ledger
- [D] Identify Obligations -> Allocate Expenses -> Recognize Profit -> Pay Taxes -> Audit

Item 93 [reinf-u2-40] • Reinforcement 2.40: Revenue Recognition Over Time (1 pt)

Megawide Construction signs a 3-year contract to build an elevated highway for the government. Under PFRS 15, when is revenue recognized?

- [A] 100% on the day the contract is signed.
- [B] 100% at the end of Year 3 when the ribbon-cutting ceremony occurs.
- [C] Over time as construction progresses, based on the percentage of completion (input or output method).
- [D] Only when the government pays cash into Megawide's account.

Item 94 [reinf-u2-41] • Reinforcement 2.41: Allowance for Impairment of Receivables (1 pt)

Why does PFRS 9 require companies to record an Allowance for Expected Credit Losses (Bad Debts Expense) in the same year credit sales occur, even before specific customers actually default?

- [A] To satisfy both the Matching Principle (matching credit risk expense with sales) and Prudence (avoiding overstatement of Accounts Receivable asset value).
- [B] Because the BIR requires all customers to be declared bankrupt immediately.
- [C] To hide cash from lenders.
- [D] Because accounts receivable never get collected.

Item 95 [reinf-u2-42] • Reinforcement 2.42: Events After the Reporting Period (1 pt)

On January 15, 2027, before the 2026 financial statements are authorized for issue, a massive fire completely destroys a company's uninsured production plant. Under PAS 10 (Events After the Reporting Period), how is this event treated in the 2026 financial statements?

- [A] Adjust the 2026 balance sheet numbers to write down the factory to zero on December 31, 2026.
- [B] Disclose the event in the 2026 Footnotes as a Non-Adjusting Subsequent Event (nature and financial estimate), because the condition (fire) did not exist at the December 31, 2026 reporting date.
- [C] Ignore the fire completely in the 2026 reports.
- [D] Cancel the 2026 financial statements entirely.

Item 96 [reinf-u2-43] • Reinforcement 2.43: Going Concern Indicators (1 pt)

Which of the following financial conditions serves as an explicit red flag that an entity's Going Concern Assumption is in severe jeopardy?

- [A] Increasing quarterly service revenues.
- [B] Negative working capital (Current Liabilities > Current Assets), chronic operating cash outflows, and default on bank loan covenants.
- [C] Paying higher cash dividends to shareholders.
- [D] Purchasing modern office computers for cash.

Item 97 [reinf-u2-44] • Reinforcement 2.44: Hyperinflationary Accounting (PAS 29) (1 pt)

Under PAS 29, when a country's cumulative 3-year inflation rate approaches or exceeds what threshold is an economy considered 'hyperinflationary', requiring restatement of financial statements in constant purchasing power units?

- [A] 10%
- [B] 25%
- [C] 50%
- [D] 100%

Item 98 [reinf-u2-45] • Reinforcement 2.45: Retail Point of Sale Recognition (1 pt)

When a customer purchases groceries at a supermarket, pays with a credit card, and bags the merchandise, when is revenue recognized by the supermarket?

- [A] When the supermarket buys the food from the farmer.
- [B] At the Point of Sale (checkout), because the performance obligation is satisfied immediately upon transferring control of the goods to the customer.
- [C] Only when the credit card bank deposits cash into the supermarket's account 3 days later.
- [D] At the end of the fiscal year.

Item 99 [reinf-u2-46] • Reinforcement 2.46: The Perversion of Prudence (1 pt)

Does the doctrine of Prudence permit management to deliberately create excessive, secret reserves or overstate expenses during highly profitable years in order to 'smooth' earnings in future bad years?

- [A] Yes, smoothing earnings protects stock market stability.
- [B] No, the Conceptual Framework explicitly clarifies that Prudence does NOT permit the deliberate overstatement of liabilities/expenses or understatement of assets/income, which produces biased, misleading statements ('cookie jar reserves').
- [C] Yes, if approved by the internal auditor.
- [D] Yes, as long as it is done under straight-line methods.

Item 100 [reinf-u2-47] • Reinforcement 2.47: Matching Prepaid Web Hosting (1 pt)

On October 1, 2026, a graphic design studio pays ₱60,000 cash for 6 months of dedicated cloud server hosting (covering Oct 1, 2026 to Mar 31, 2027). Under accrual accounting, what is the Server Expense recognized on the 2026 annual income statement, and what is the Prepaid Server Asset on December 31, 2026?

- [A] Server Expense ₱60,000; Prepaid Server ₱0
- [B] Server Expense ₱30,000; Prepaid Server ₱30,000
- [C] Server Expense ₱10,000; Prepaid Server ₱50,000
- [D] Server Expense ₱0; Prepaid Server ₱60,000

Item 101 [reinf-u2-48] • Reinforcement 2.48: Accrued Interest Expense (1 pt)

On November 1, 2026, a business borrows ₱500,000 from a commercial bank, signing a 1-year promissory note carrying a 12% annual interest rate. Principal and all interest are payable on October 31, 2027. Under accrual accounting, what adjusting entry must be made on December 31, 2026?

- [A] No entry because no interest cash was paid in 2026.
- [B] Debit Interest Expense ₱10,000; Credit Interest Payable ₱10,000
- [C] Debit Interest Expense ₱60,000; Credit Interest Payable ₱60,000
- [D] Debit Interest Payable ₱10,000; Credit Cash ₱10,000

Item 102 [reinf-u2-49] • Reinforcement 2.49: Accrued Salaries over Weekend (1 pt)

An entity pays its employees ₱50,000 for a 5-day work week (Monday to Friday, or ₱10,000/day). The calendar month ends on Wednesday, December 31. Employees will receive their full paycheck on Friday, January 2. What adjusting entry is required on December 31?

- [A] Debit Salaries Expense ₱50,000; Credit Cash ₱50,000
- [B] Debit Salaries Expense ₱30,000; Credit Salaries Payable ₱30,000
- [C] Debit Salaries Payable ₱30,000; Credit Salaries Expense ₱30,000
- [D] No entry until Friday when checks are issued

Item 103 [reinf-u2-50] • Reinforcement 2.50: Sole Proprietor Personal Tax Payment (1 pt)

A sole proprietor issues a check from the business bank account to pay his personal individual income tax return to the BIR. How should this transaction be recorded in the business books?

- [A] Debit Income Tax Expense; Credit Cash
- [B] Debit Owner's Drawings; Credit Cash
- [C] Debit Professional Fees; Credit Cash
- [D] Debit Accounts Receivable; Credit Cash

Part III: Master Answer Keys & Detailed Pedagogical Solutions

Official departmental answer keys and step-by-step mathematical computations for every question in this module:

Quick Answer Key Matrix

Item	ID	Type	Official Answer Key	Item	ID	Type	Official Answer Key
1	u2-q1	TF	False	53	past-t3-mc6	MCQ	Option B
2	u2-q2	TF	False	54	reinf-u2-01	MCQ	Option B
3	u2-q3	MCQ	Option A	55	reinf-u2-02	MCQ	Option B
4	u2-q4	MCQ	Option A	56	reinf-u2-03	MCQ	Option B
5	u2-q5	MCQ	Option A	57	reinf-u2-04	MCQ	Option B
6	u2-q6	MCQ	Option A	58	reinf-u2-05	MCQ	Option B
7	u2-q7	TF	True	59	reinf-u2-06	MCQ	Option B
8	u2-q8	MCQ	Option A	60	reinf-u2-07	MCQ	Option C
9	u2-q9	TF	False	61	reinf-u2-08	MCQ	Option B
10	u2-q10	MCQ	Option A	62	reinf-u2-09	MCQ	Option B
11	u2-q11	MCQ	Option A	63	reinf-u2-10	MCQ	Option C
12	u2-q12	TF	False	64	reinf-u2-11	MCQ	Option B
13	u2-q13	MCQ	Option A	65	reinf-u2-12	MCQ	Option C
14	u2-q14	TF	True	66	reinf-u2-13	MCQ	Option B
15	u2-q15	MCQ	Option B	67	reinf-u2-14	MCQ	Option B
16	u2-q16	MCQ	Option A	68	reinf-u2-15	MCQ	Option B
17	u2-q17	MCQ	Option A	69	reinf-u2-16	MCQ	Option A
18	u2-q18	TF	True	70	reinf-u2-17	MCQ	Option C
19	u2-q19	MCQ	Option A	71	reinf-u2-18	MCQ	Option B
20	u2-q20	MCQ	Option A	72	reinf-u2-19	MCQ	Option B
21	u2-q21	MCQ	Option A	73	reinf-u2-20	MCQ	Option A
22	u2-q22	MCQ	Option A	74	reinf-u2-21	MCQ	Option C
23	u2-q23	TF	False	75	reinf-u2-22	MCQ	Option A
24	u2-q24	TF	True	76	reinf-u2-23	MCQ	Option B
25	u2-q25	MCQ	Option A	77	reinf-u2-24	MCQ	Option B
26	u2-q26	MATCHING	Matrix Solution	78	reinf-u2-25	MCQ	Option B
27	ff-1	MCQ	Option A	79	reinf-u2-26	MCQ	Option B
28	ff-2	MCQ	Option A	80	reinf-u2-27	MCQ	Option B
29	ff-3	MCQ	Option A	81	reinf-u2-28	MCQ	Option B
30	ff-4	MCQ	Option A	82	reinf-u2-29	MCQ	Option B
31	ff-5	MCQ	Option A	83	reinf-u2-30	MCQ	Option B
32	past-t1-tf7	TF	False	84	reinf-u2-31	MCQ	Option A
33	past-t1-tf8	TF	True	85	reinf-u2-32	MCQ	Option B
34	past-t1-tf9	TF	True	86	reinf-u2-33	MCQ	Option B
35	past-t1-mc4	MCQ	Option C	87	reinf-u2-34	MCQ	Option A
36	past-t1-mc6	MCQ	Option D	88	reinf-u2-35	MCQ	Option B
37	past-t1-mc7	MCQ	Option A	89	reinf-u2-36	MCQ	Option B
38	past-t2-tf4	TF	False	90	reinf-u2-37	MCQ	Option B
39	past-t2-tf5	TF	False	91	reinf-u2-38	MCQ	Option A

40	past-t2-tf6	TF	True	92	reinf-u2-39	MCQ	Option B
41	past-t2-tf7	TF	True	93	reinf-u2-40	MCQ	Option C
42	past-t2-tf8	TF	False	94	reinf-u2-41	MCQ	Option A
43	past-t2-mc4	MCQ	Option A	95	reinf-u2-42	MCQ	Option B
44	past-t2-mc5	MCQ	Option D	96	reinf-u2-43	MCQ	Option B
45	past-t2-mc6	MCQ	Option A	97	reinf-u2-44	MCQ	Option D
46	past-t2-mc7	MCQ	Option B	98	reinf-u2-45	MCQ	Option B
47	past-t3-tf4	TF	True	99	reinf-u2-46	MCQ	Option B
48	past-t3-tf6	TF	False	100	reinf-u2-47	MCQ	Option B
49	past-t3-tf7	TF	True	101	reinf-u2-48	MCQ	Option B
50	past-t3-tf8	TF	False	102	reinf-u2-49	MCQ	Option B
51	past-t3-mc4	MCQ	Option B	103	reinf-u2-50	MCQ	Option B
52	past-t3-mc5	MCQ	Option A				

Detailed Step-by-Step Pedagogical Solutions & Rationales

[u2-q1] Item 1: Question 1 • Unit 2 Canvas Quiz — Correct Answer: False

False. The two fundamental qualitative characteristics are **Relevance** and **Faithful Representation**. Predictive value and confirmatory value are ingredients of Relevance.

[u2-q2] Item 2: Question 2 • Unit 2 Canvas Quiz — Correct Answer: False

False. Free from error is an ingredient of **Faithful Representation**, not Relevance. Relevance requires predictive value, confirmatory value, and materiality.

[u2-q3] Item 3: Question 3 • Unit 2 Canvas Quiz — Correct Answer: Option A

Neutrality (supported by prudence) requires that financial statements are prepared without bias in selection or presentation to avoid slanting user perceptions.

[u2-q4] Item 4: Question 4 • Unit 2 Canvas Quiz — Correct Answer: Option A

Faithful representation means financial reports correspond to and accurately reflect the true economic substance of underlying transactions.

[u2-q5] Item 5: Question 5 • Unit 2 Canvas Quiz — Correct Answer: Option A

Materiality is an entity-specific aspect of Relevance (a fundamental quality). The four Enhancing Qualities are Comparability, Verifiability, Timeliness, and Understandability.

[u2-q6] Item 6: Question 6 • Unit 2 Canvas Quiz — Correct Answer: Option A

GAAP (and PFRS/IFRS) are professional standards and conventions establishing how economic events must be measured, recognized, presented, and disclosed.

[u2-q7] Item 7: Question 7 • Unit 2 Canvas Quiz — Correct Answer: True

True. Under the Business / Separate Entity assumption, the accounting records of the entity must be maintained completely separate from its owners and other firms.

[u2-q8] Item 8: Question 8 • Unit 2 Canvas Quiz — Correct Answer: Option A

The business is treated as an independent economic unit. The owner's personal living expenditures must never be commingled with company operating expenses.

[u2-q9] Item 9: Question 9 • Unit 2 Canvas Quiz — Correct Answer: False

False. Going concern assumes the business will operate indefinitely into the foreseeable future (not just for one period), justifying carrying assets at historical cost less depreciation.

[u2-q10] Item 10: Question 10 • Unit 2 Canvas Quiz — Correct Answer: Option A

The monetary unit assumption assumes the currency has stable purchasing power. In reality, general economic inflation erodes the peso's value over decades.

[u2-q11] Item 11: Question 11 • Unit 2 Canvas Quiz — Correct Answer: Option A

Standard historical cost accounting assumes the purchasing power of the currency remains stable over time for ordinary reporting, ignoring everyday price fluctuations.

[u2-q12] Item 12: Question 12 • Unit 2 Canvas Quiz — Correct Answer: False

False. Transactions occur continuously throughout the life of the enterprise. The Time Period assumption artificially subdivides that continuous operating life into equal calendar intervals (months, quarters, years).

[u2-q13] Item 13: Question 13 • Unit 2 Canvas Quiz — Correct Answer: Option A

The Statement of Profit or Loss measures operating performance and profitability over a defined artificial time interval (e.g., 'For the Year Ended December 31, 2026').

[u2-q14] Item 14: Question 14 • Unit 2 Canvas Quiz — Correct Answer: True

True. Accrual basis dictates that economic events are recognized when they occur (earned or incurred), regardless of the timing of cash receipts or disbursements.

[u2-q15] Item 15: Question 15 • Unit 2 Canvas Quiz — Correct Answer: Option B

Revenues are recorded when earned (performance obligation satisfied) and expenses when incurred (consumed), matching economic activity to the appropriate period.

[u2-q16] Item 16: Question 16 • Unit 2 Canvas Quiz — Correct Answer: Option A

Historical cost is the cash or cash equivalent exchange price paid to acquire an asset in an arm's-length transaction, providing verifiable and objective evidence.

[u2-q17] Item 17: Question 17 • Unit 2 Canvas Quiz — Correct Answer: Option A

When the going concern assumption no longer holds (company facing bankruptcy or liquidation), assets must be written down to their net realizable / fire-sale liquidation value.

[u2-q18] Item 18: Question 18 • Unit 2 Canvas Quiz — Correct Answer: True

True. Under the revenue recognition principle and accrual basis, revenue is recognized when the performance obligation is completed (goods delivered/services rendered in 2023).

[u2-q19] Item 19: Question 19 • Unit 2 Canvas Quiz — Correct Answer: Option A

The **Matching Principle** (Cause and Effect mode) requires that costs directly incurred to generate specific revenues (such as referral fees paid to doctors) be recognized in the same period as the revenue.

[u2-q20] Item 20: Question 20 • Unit 2 Canvas Quiz — Correct Answer: Option A

Full disclosure ensures all material financial facts and contingencies are clearly communicated in the financial statements and accompanying notes so users are not misled.

[u2-q21] Item 21: Question 21 • Unit 2 Canvas Quiz — Correct Answer: Option A

Under the **Materiality Constraint**, companies may depart from strict GAAP for items so trivial that their omission or misstatement would not influence user decisions (e.g. immediately expensing a \$300 stapler).

[u2-q22] Item 22: Question 22 • Unit 2 Canvas Quiz — Correct Answer: Option A

The cost-benefit constraint and materiality are closely coupled: the cost of gathering, tracking, and depreciating immaterial items far outweighs any analytical benefit to financial users.

[u2-q23] Item 23: Question 23 • Unit 2 Canvas Quiz — Correct Answer: False

False. Phrasing trap! The cost-benefit constraint requires that the **benefits** derived from providing financial information **should exceed (outweigh) the costs** incurred to provide it.

[u2-q24] Item 24: Question 24 • Unit 2 Canvas Quiz — Correct Answer: True

True. Conservatism (prudence) directs the accountant, when facing equally valid estimates, to choose the alternative that is least likely to overstate assets and income, resulting in the more conservative ('inferior') numerical valuation.

[u2-q25] Item 25: Question 25 • Unit 2 Canvas Quiz — Correct Answer: Option A

Specialized industry practices are recognized as GAAP where unique operating conditions, severe risks, or statutory regulatory frameworks exist (such as banking, public utilities, agriculture, and mining).

[u2-q26] Item 26: Question 26 • Unit 2 Canvas Quiz — Matching Matrix Solution**[ff-1] Item 27: Forensic Diagnostic Lab • Case 1 — Correct Answer: Option A**

Wirecard fabricated bank confirmations and escrow agreements, violating **Faithful Representation** and **Objectivity**. The balance sheet depicted economic resources that did not exist in economic reality.

[ff-2] Item 28: Forensic Diagnostic Lab • Case 2 — Correct Answer: Option A

Routine network access fees provide no multi-year future benefit and must be recognized immediately as operating expenses under the **Matching Principle (Immediate Recognition Mode)**. Capitalizing them artificially inflated assets and net income.

[ff-3] Item 29: Forensic Diagnostic Lab • Case 3 — Correct Answer: Option A

Enron used sham legal entities to conceal corporate liabilities, violating **Substance Over Form** (economic reality dictates consolidating the debt), **Full Disclosure**, and **Separate Entity** principles.

[ff-4] Item 30: Forensic Diagnostic Lab • Case 4 — Correct Answer: Option A

Under **Conservatism / Prudence** and PFRS 15, when it is probable that total contract costs will exceed total contract revenue, the expected loss must be recognized as an expense immediately.

[ff-5] Item 31: Forensic Diagnostic Lab • Case 5 — Correct Answer: Option A

In economic substance, Repo 105 transactions were collateralized loans, not sales. Structuring them as sales to scrub debt off the balance sheet violated **Substance Over Form**.

[past-t1-tf7] Item 32: AY2526 T1 • True/False Q7 — Correct Answer: False

False. **Enhancing** qualitative characteristics (Comparability, Verifiability, Timeliness, Understandability) improve usefulness. **Fundamental** characteristics (Relevance and Faithful Representation) determine whether information is useful at all.

[past-t1-tf8] Item 33: AY2526 T1 • True/False Q8 — Correct Answer: True

True. The going concern assumption presumes the entity has neither the intention nor the necessity of liquidation or ceasing trading in the foreseeable future.

[past-t1-tf9] Item 34: AY2526 T1 • True/False Q9 — Correct Answer: True

True. The matching principle (cause-and-effect association) dictates that expenses incurred to generate revenue must be recognized in the identical accounting period.

[past-t1-mc4] Item 35: AY2526 T1 • Multiple Choice Q4 — Correct Answer: Option C

Option C is correct. The Separate/Business Entity Concept mandates that the financial records of the business enterprise must be maintained completely distinct from the personal affairs of its owners.

[past-t1-mc6] Item 36: AY2526 T1 • Multiple Choice Q6 — Correct Answer: Option D

Option D is correct. Under the accrual basis and PFRS 15, revenue is recognized when performance obligations are satisfied (services rendered or goods delivered), regardless of cash collection timing.

[past-t1-mc7] Item 37: AY2526 T1 • Multiple Choice Q7 — Correct Answer: Option A

Option A is correct. The Cost-Benefit constraint acknowledges that reporting financial information imposes costs, and those costs must be justified by the decision-making benefits derived by users.

[past-t2-tf4] Item 38: AY2526 T2 • True/False Q4 — Correct Answer: False

False. To be useful, financial information must possess both fundamental characteristics: **Relevance** and **Faithful Representation**.

[past-t2-tf5] Item 39: AY2526 T2 • True/False Q5 — Correct Answer: False

False. The **Periodicity / Time Period Assumption** divides business life into artificial interim periods (months, quarters, years) to report timely information.

[past-t2-tf6] Item 40: AY2526 T2 • True/False Q6 — Correct Answer: True

True. Going concern presumes ongoing operational continuation indefinitely unless liquidation is imminent.

[past-t2-tf7] Item 41: AY2526 T2 • True/False Q7 — Correct Answer: True

True. Cause-and-effect matching associates expenses directly with related revenues in the period earned.

[past-t2-tf8] Item 42: AY2526 T2 • True/False Q8 — Correct Answer: False

False. The cost-benefit constraint permits omission where the costs of reporting exceed the decision-usefulness benefits to users.

[past-t2-mc4] Item 43: AY2526 T2 • Multiple Choice Q4 — Correct Answer: Option A

Option A is correct. Consistency refers to the use of the same methods for the same items from period to period. Comparability does not mean uniformity; making unlike things look alike detracts from faithful representation.

[past-t2-mc5] Item 44: AY2526 T2 • Multiple Choice Q5 — Correct Answer: Option D

Option D is correct. Under the **Stable Monetary Unit Assumption**, the purchasing power of the currency is assumed to be stable, and purchasing power fluctuations (general inflation adjustments) are ignored in primary historical cost accounting.

[past-t2-mc6] Item 45: AY2526 T2 • Multiple Choice Q6 — Correct Answer: Option A

Option A is correct. GAAP encompasses authoritative standards, conventions, and rules establishing standardized financial reporting.

[past-t2-mc7] Item 46: AY2526 T2 • Multiple Choice Q7 — Correct Answer: Option B

Option B is correct. Full disclosure requires complete footnote reporting of policies, contingencies, and material commitments that could impact user judgments.

[past-t3-tf4] Item 47: AY2526 T3 • True/False Q4 — Correct Answer: True

True. Substance over form is an essential component of **Faithful Representation**.

[past-t3-tf6] Item 48: AY2526 T3 • True/False Q6 — Correct Answer: False

False. When liquidation is imminent (within 12 months), the going-concern assumption is discarded, and financial statements must be prepared on a **liquidation / net realizable value basis**.

[past-t3-tf7] Item 49: AY2526 T3 • True/False Q7 — Correct Answer: True

True. The full disclosure principle ensures that all material information necessary for fair presentation and decision-making is disclosed.

[past-t3-tf8] Item 50: AY2526 T3 • True/False Q8 — Correct Answer: False

False. Non-cash assets contributed by the proprietor are recorded at their **Fair Market Value** at the investment date, which becomes their initial cost to the business.

[past-t3-mc4] Item 51: AY2526 T3 • Multiple Choice Q4 — Correct Answer: Option B

Option B is correct. Consistency is the application of the same accounting policies and methods across successive periods.

[past-t3-mc5] Item 52: AY2526 T3 • Multiple Choice Q5 — Correct Answer: Option A

Option A is correct. Information is **Material** if omitting or misstating it could influence the economic decisions of users.

[past-t3-mc6] Item 53: AY2526 T3 • Multiple Choice Q6 — Correct Answer: Option B

Option B is correct. Receiving cash before performance satisfies an unearned obligation, creating a current liability (**Unearned Service Revenue**).

[reinf-u2-01] Item 54: Reinforcement 2.1: Going Concern Abandonment (5-Month Rule) — Correct Answer: Option B

Correct Answer: B.

When management intends or has no realistic alternative but to liquidate within 12 months (here, within 5 months), the **Going Concern Assumption is abandoned**. Assets cannot be reported at historical cost; they must be written down to **Net Realizable Liquidation Value**.

[reinf-u2-02] Item 55: Reinforcement 2.2: Going Concern Preserved Despite Operating Loss — Correct Answer: Option B

Correct Answer: B.

A temporary operating loss does not breach the Going Concern assumption if the entity possesses sufficient working capital, financing, and managerial intent to operate for the foreseeable future (at least 12 months).

[reinf-u2-03] Item 56: Reinforcement 2.3: Consistency vs Uniformity Distinction — Correct Answer: Option B

Correct Answer: B.

Consistency refers to an individual firm applying the same methods across time to facilitate intra-firm comparison. **Uniformity** (forcing every company in an industry to use the same depreciation or inventory method) is not mandated; entities may select methods best suited to their operations.

[reinf-u2-04] Item 57: Reinforcement 2.4: Legitimate Change in Accounting Policy — Correct Answer: Option B

Correct Answer: B.

Consistency does not mean blind inflexibility. An entity may change an accounting policy if required by a revised standard or if the new method provides more relevant and faithfully representative information, provided the change and its numerical impact are fully disclosed in the Notes.

[reinf-u2-05] Item 58: Reinforcement 2.5: Obscured Information Criteria — Correct Answer: Option B

Correct Answer: B.

The Framework states that information is obscured if it is communicated using vague or ambiguous language, if dissimilar items are inappropriately aggregated, or if material disclosures are scattered or buried beneath irrelevant details.

[reinf-u2-06] Item 59: Reinforcement 2.6: Advance Customer Collection Treatment — Correct Answer: Option B

Correct Answer: B.

Under the **Accrual Principle** and **Revenue Recognition Principle (PFRS 15)**, revenue is recognized only when the performance obligation is satisfied. Because no legal work was performed in December, the advance cash collection creates a performance obligation and is credited to **Unearned Retainer Fees (Current Liability)**.

[reinf-u2-07] Item 60: Reinforcement 2.7: Direct Association (Cause and Effect) — Correct Answer: Option C

Correct Answer: C.

Cause and Effect involves a direct, demonstrable link between incurring the expense and generating the specific revenue. Sales commissions and Cost of Goods Sold are prime examples.

[reinf-u2-08] Item 61: Reinforcement 2.8: Systematic & Rational Allocation — Correct Answer: Option B

Correct Answer: B.

When an economic resource benefits several periods but has no direct link to a specific sale, its cost is allocated systematically over its useful life via **depreciation or amortization**.

[reinf-u2-09] Item 62: Reinforcement 2.9: Immediate Recognition Rationale — Correct Answer: Option B

Correct Answer: B.

Under the **Immediate Recognition** mode, costs that generate no discernible future economic benefits, or whose future benefits are too uncertain to reliably quantify (like advertising and administrative salaries), must be recognized immediately as expenses.

[reinf-u2-10] Item 63: Reinforcement 2.10: Unsolicited Purchase Offers on Land — Correct Answer: Option C

Correct Answer: C.

Under the **Historical Cost Principle**, assets are recorded and maintained at their original acquisition price. Unsolicited purchase offers and subjective appraisals are not completed transactions and cannot be written up on the balance sheet under the cost model.

[reinf-u2-11] Item 64: Reinforcement 2.11: Asymmetry of Prudence — Correct Answer: Option B

Correct Answer: B.

Prudence exercises caution under uncertainty: assets and income are not overstated, and liabilities and expenses are not understated. Hence, probable losses are accrued immediately, while contingent gains are not recognized until realization is virtually certain.

[reinf-u2-12] Item 65: Reinforcement 2.12: Materiality & Low-Value Equipment — Correct Answer: Option C

Correct Answer: C.

Under **Materiality**, strict accounting compliance is relaxed for trivial amounts that would not influence the decisions of reasonable financial statement users. Tracking a ₱850 pencil sharpener over 5 years costs more in accounting labor than the value of the information provided.

[reinf-u2-13] Item 66: Reinforcement 2.13: The Pervasive Constraint — Correct Answer: Option B

Correct Answer: B.

The IFRS Conceptual Framework designates **Cost** as the **pervasive constraint** on financial reporting: the benefits derived from providing financial information should always justify the costs imposed on preparers and users to generate and analyze it.

[reinf-u2-14] Item 67: Reinforcement 2.14: Commingling Business & Personal Cash — Correct Answer: Option B

Correct Answer: B.

Charging a personal gift as a clinic business expense artificially inflates expenses, causing **Net Income to be understated by ₱65,000**. Simultaneously, Owner's Drawings (capital distribution) is omitted, violating the Separate Entity Assumption.

[reinf-u2-15] Item 68: Reinforcement 2.15: Stable Currency Yardstick — Correct Answer: Option B

Correct Answer: B.

The monetary unit assumes the currency yardstick is stable. In reality, inflation erodes purchasing power, meaning historical pesos from decades ago are aggregated with today's inflated pesos without price-level index adjustment (unless hyperinflation triggers PAS 29).

[reinf-u2-16] Item 69: Reinforcement 2.16: Periodicity & The Need for Estimates — Correct Answer: Option A

Correct Answer: A.

Periodicity artificially divides continuous business operations into arbitrary calendar intervals (monthly, quarterly, annual). Because ongoing projects, uncollected revenues, and multi-year equipment span across cutoff dates, accountants must use accruals and depreciation estimates.

[reinf-u2-17] Item 70: Reinforcement 2.17: Full Disclosure in the Footnotes — Correct Answer: Option C

Correct Answer: C.

The **Full Disclosure Principle** requires reporting all significant financial facts that could influence the judgment of an informed investor. If a probable/possible contingency cannot be measured reliably for ledger entry, it must be disclosed in the **Notes to Financial Statements**.

[reinf-u2-18] Item 71: Reinforcement 2.18: WorldCom Forensic Scandal — Correct Answer: Option B

Correct Answer: B.

By fraudulently **capitalizing operating expenses as capital assets**, WorldCom bypassed the income statement, kept expenses hidden on the balance sheet as bogus PPE assets, and created an illusion of billions in net profit.

[reinf-u2-19] Item 72: Reinforcement 2.19: Enron Off-Balance-Sheet Vehicles — Correct Answer: Option B

Correct Answer: B.

Enron abused legal form to conceal economic reality, violating **Substance Over Form, Faithful Representation, and Full Disclosure**. In economic substance, the debt belonged to Enron and should have been consolidated on its balance sheet.

[reinf-u2-20] Item 73: Reinforcement 2.20: Wirecard €1.9 Billion Ghost Cash — Correct Answer: Option A**Correct Answer: A.**

The purported €1.9B in cash failed **Verifiability** (independent confirmation directly with the Philippine banks proved the confirmation letters were forged) and **Faithful Representation** (the cash was an outright fabrication).

[reinf-u2-21] Item 74: Reinforcement 2.21: Direct vs Indirect Verifiability — Correct Answer: Option C**Correct Answer: C.**

Direct verifiability means verifying an amount through direct physical observation (counting cash or inventory). **Indirect verifiability** means checking the inputs into a model, formula, or cost schedule and recalculating the outputs using the same methodology.

[reinf-u2-22] Item 75: Reinforcement 2.22: Timeliness Trade-off — Correct Answer: Option A**Correct Answer: A.**

Timeliness means having information available to decision-makers in time to influence their decisions. There is an inherent operational trade-off: releasing information promptly enhances timeliness, even though subsequent annual audited reports may refine interim estimates.

[reinf-u2-23] Item 76: Reinforcement 2.23: The Understandability Standard — Correct Answer: Option B**Correct Answer: B.**

Understandability requires clear, concise characterization, but does not permit omitting relevant complex economic phenomena simply because it is difficult. Reports assume users possess a **reasonable knowledge of business** and review data diligently.

[reinf-u2-24] Item 77: Reinforcement 2.24: Dimensions of Relevance — Correct Answer: Option B**Correct Answer: B.**

Information has **predictive value** if it helps users forecast future outcomes. It has **confirmatory value** if it provides feedback that confirms or alters previous evaluations and forecasts.

[reinf-u2-25] Item 78: Reinforcement 2.25: Neutrality Defined — Correct Answer: Option B**Correct Answer: B.**

A **neutral depiction** is without bias in the selection or presentation of financial information. It is not slanted, weighted, emphasized, de-emphasized, or otherwise manipulated to achieve a predetermined psychological or economic outcome.

[reinf-u2-26] Item 79: Reinforcement 2.26: Substance Over Form in Leases — Correct Answer: Option B**Correct Answer: B.**

Under **Substance Over Form**, accounting depicts the economic reality of an arrangement rather than merely its legal form. Because the lessee controls the economic resource, it must capitalize the **Right-of-Use Asset** and recognize the **Lease Liability**.

[reinf-u2-27] Item 80: Reinforcement 2.27: Anatomy of an Accrued Expense — Correct Answer: Option B**Correct Answer: B.**

An **Accrued Expense** (e.g. Accrued Salaries, Accrued Interest) arises when the benefit has already been consumed (expense incurred) during the period, but payment has not yet been disbursed, creating a liability.

[reinf-u2-28] Item 81: Reinforcement 2.28: Anatomy of a Prepaid Expense — Correct Answer: Option B**Correct Answer: B.**

Monthly insurance cost = ₱120,000 / 12 = ₱10,000 per month.

In December 2026, 1 month is consumed (₱10,000 Insurance Expense).

The remaining 11 months represent future economic benefits and are reported as **Prepaid Insurance (Current Asset) = 11 x ₱10,000 = ₱110,000**.

[reinf-u2-29] Item 82: Reinforcement 2.29: Anatomy of Accrued Revenue — Correct Answer: Option B**Correct Answer: B.**

Under the **Accrual Principle**, revenue is recognized when earned, regardless of billing or collection dates. Because the service was rendered in December, an adjusting entry debits **Accrued Fees Receivable (Asset)** and credits **Inspection Revenue**.

[reinf-u2-30] Item 83: Reinforcement 2.30: Advance Magazine Subscriptions — Correct Answer: Option B**Correct Answer: B.**

Monthly revenue earned = ₱2,400,000 / 12 = ₱200,000 (earned in December).

Remaining unearned subscriptions for the upcoming 11 months = 11 x ₱200,000 = **₱2,200,000 (Current Liability)**.

[reinf-u2-31] Item 84: Reinforcement 2.31: Industry Practice Specialization — Correct Answer: Option A**Correct Answer: A.**

The **Industry Practice Constraint** acknowledges that certain specialized industries (agriculture, banking, extractive mining) possess unique operating characteristics requiring tailored accounting standards (e.g. PAS 41 Biological Assets) for meaningful financial reporting.

[reinf-u2-32] Item 85: Reinforcement 2.32: The Objectivity Standard — Correct Answer: Option B**Correct Answer: B.**

The **Objectivity Principle** dictates that financial transactions must be verifiable through factual, objective source documents (invoices, receipts, titles, contracts) free from personal bias.

[reinf-u2-33] Item 86: Reinforcement 2.33: Fiscal Year Defined — Correct Answer: Option B**Correct Answer: B.**

A **Fiscal Year** is any consecutive 12-month accounting period that ends on the last day of any month other than December 31. (A period ending December 31 is a Calendar Year).

[reinf-u2-34] Item 87: Reinforcement 2.34: The Natural Business Year — Correct Answer: Option A**Correct Answer: A.**

A **Natural Business Year** is an accounting year that terminates at the annual low point of business activity, when inventory counting is easiest and cash conversion is at its peak.

[reinf-u2-35] Item 88: Reinforcement 2.35: Hierarchy of Qualitative Characteristics — Correct Answer: Option B**Correct Answer: B.**

The two **Fundamental Qualitative Characteristics** are **Relevance** and **Faithful Representation**. Without both, information cannot be useful, regardless of how verifiable or timely it is.

[reinf-u2-36] Item 89: Reinforcement 2.36: Role of Enhancing Characteristics — Correct Answer: Option B**Correct Answer: B.**

The Conceptual Framework explicitly states that enhancing qualitative characteristics cannot make information useful if it is irrelevant or lacks faithful representation. They merely enhance the utility of information that already meets fundamental criteria.

[reinf-u2-37] Item 90: Reinforcement 2.37: Materiality Relativity — Correct Answer: Option B**Correct Answer: B.**

Materiality is entity-specific: an item is material if omitting or misstating it could influence the economic decisions of users of that specific entity's statements. ₱500k is catastrophic for the corner store, but quantitatively immaterial to SM Prime.

[reinf-u2-38] Item 91: Reinforcement 2.38: Qualitative Materiality (Nature vs Magnitude) — Correct Answer: Option A**Correct Answer: A.**

Materiality has both **quantitative size (magnitude)** and **qualitative nature**. A deliberate illegal bribe or fraud committed by top management is inherently material by its nature because it reflects on executive integrity and legal compliance.

[reinf-u2-39] Item 92: Reinforcement 2.39: PFRS 15 Five-Step Revenue Model — Correct Answer: Option B**Correct Answer: B.**

PFRS 15 mandates the 5-step model: (1) Identify contract with customer, (2) Identify performance obligations, (3) Determine transaction price, (4) Allocate transaction price to obligations, and (5) Recognize revenue when/as the entity satisfies a performance obligation.

[reinf-u2-40] Item 93: Reinforcement 2.40: Revenue Recognition Over Time — Correct Answer: Option C**Correct Answer: C.**

Under PFRS 15, when an entity creates an asset that the customer controls as it is being created (like a custom infrastructure project on public land), the performance obligation is satisfied **over time**, recognizing revenue based on progress of completion.

[reinf-u2-41] Item 94: Reinforcement 2.41: Allowance for Impairment of Receivables — Correct Answer: Option A**Correct Answer: A.**

Recording expected credit losses simultaneously satisfies **Matching** (recognizing uncollectible costs in the period revenue was generated) and **Prudence** (preventing receivables from being reported above their net recoverable value).

[reinf-u2-42] Item 95: Reinforcement 2.42: Events After the Reporting Period — Correct Answer: Option B**Correct Answer: B.**

Under PAS 10, events after the reporting period that indicate conditions arising *after* the balance sheet date are **non-adjusting events**. They do not alter balance sheet figures as of December 31, but because of their materiality, they must be comprehensively disclosed in the **Notes**.

[reinf-u2-43] Item 96: Reinforcement 2.43: Going Concern Indicators — Correct Answer: Option B**Correct Answer: B.**

Key indicators of going concern distress include **negative working capital**, recurring operating cash losses, inability to pay debts on maturity, and breach of loan agreements.

[reinf-u2-44] Item 97: Reinforcement 2.44: Hyperinflationary Accounting (PAS 29) — Correct Answer: Option D**Correct Answer: D.**

PAS 29 identifies hyperinflation when the cumulative inflation rate over three years approaches or exceeds **100%** (an average of approximately 26% per year), at which point historical cost figures become meaningless without restatement.

[reinf-u2-45] Item 98: Reinforcement 2.45: Retail Point of Sale Recognition — Correct Answer: Option B**Correct Answer: B.**

In retail transactions, control transfers **at a point in time (Point of Sale)** when the goods are physically transferred to the customer.

[reinf-u2-46] Item 99: Reinforcement 2.46: The Perversion of Prudence — Correct Answer: Option B**Correct Answer: B.**

The IFRS Conceptual Framework explicitly warns that prudence does not allow the creation of hidden reserves or deliberate understatement of assets/income, because doing so distorts faithful representation and misleads investors.

[reinf-u2-47] Item 100: Reinforcement 2.47: Matching Prepaid Web Hosting — Correct Answer: Option B**Correct Answer: B.**

Monthly hosting = ₱60,000 / 6 = ₱10,000 per month.

October, November, December = 3 months consumed -> **Server Expense = ₱30,000.**

January, February, March = 3 months remaining -> **Prepaid Server Asset = ₱30,000.**

[reinf-u2-48] Item 101: Reinforcement 2.48: Accrued Interest Expense — Correct Answer: Option B**Correct Answer: B.**

Annual interest = ₱500,000 x 12% = ₱60,000 per year.

Interest for 2 months (Nov & Dec) = ₱60,000 x (2/12) = **₱10,000.**

Because 2 months of borrowing elapsed, the business incurred ₱10,000 in interest: Debit **Interest Expense ₱10,000** and credit **Interest Payable ₱10,000.**

[reinf-u2-49] Item 102: Reinforcement 2.49: Accrued Salaries over Weekend — Correct Answer: Option B**Correct Answer: B.**

Employees worked 3 days in December (Monday Dec 29, Tuesday Dec 30, Wednesday Dec 31).

Salaries earned in December = 3 days x ₱10,000/day = **₱30,000.**

Entry: Debit **Salaries Expense ₱30,000**; Credit **Salaries Payable ₱30,000.**

[reinf-u2-50] Item 103: Reinforcement 2.50: Sole Proprietor Personal Tax Payment — Correct Answer: Option B**Correct Answer: B.**

A sole proprietorship is not a taxable corporate entity; the business pays no income tax itself. The personal income tax liability belongs exclusively to the human owner. Paying it with business cash is an extraction of capital: debit **Owner's Drawings** and credit **Cash**.